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LA Public Service Commission

December 3, 2025

Via Hand Delivery
Mr. Brandon M. Frey
Executive Secretary
Louisiana Public Service Commission
Galvez Building, 12th Floor
602 North Fifth Street
Baton Rouge, Louisiana 70802

Re: Application of Entergy Louisiana, LLC for Approval to Acquire Cottonwood Generation Facility and for Cost Recovery
(LPSC Docket No. U-_____)

Dear Mr. Frey:

I have enclosed the original and three copies of a Public Redacted Version of the Application of Entergy Louisiana, LLC ("ELL" or "Company") for Approval to Acquire Cottonwood Generation Facility and for Cost Recovery. This filing includes the Direct Testimony of Laura K. Beauchamp, Demitrius Davis, Phong D. Nguyen, and Patrick A. Sullivan and accompanying exhibits. Please retain the original and two copies for your files and return a date-stamped copy to our courier.

I have also enclosed five copies of the Highly Sensitive Protected Material ("HSPM") Version of the referenced filing, which is being provided to you under seal pursuant to the provisions of the LPSC General Order dated August 31, 1992, and Rules 12.1 and 26 of the Commission's Rules of Practices and Procedures. The confidential materials included in the filing consist of competitively sensitive information and customer-specific confidential information, among other things. The disclosure of the information contained herein would subject not only the Company but also its customers to a substantial risk of harm. Accordingly, it is critical that this information remain confidential.

Please retain the appropriately marked HSPM Version for your files and return a date-stamped copy to our courier. The three additional HSPM copies are for the Administrative Law Judge, Staff Attorney, and Research Attorney. Additional copies of the HSPM Version of this filing will be provided to the appropriate representatives of the Louisiana Public Service Commission Staff and made available to intervenors once a suitable Confidentiality Agreement has been executed by the parties.

If you have any questions, please do not hesitate to call me. Thank you for your courtesy and assistance with this matter.

Respectfully submitted,

Edward R. Wicker, Jr.

ERW/rih
Enclosures
cc: LPSC Commissioners (*public version only via electronic mail*)

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LA Public Service Commission

BEFORE THE

LOUISIANA PUBLIC SERVICE COMMISSION

IN RE: APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL TO ACQUIRE COTTONWOOD GENERATION FACILITY AND FOR COST RECOVERY	)))))	**DOCKET NO. U-_____**

APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL TO ACQUIRE COTTONWOOD GENERATION FACILITY AND FOR COST RECOVERY

Entergy Louisiana, LLC ("ELL" or the "Company") respectfully submits this Application seeking certification, in accordance with the Louisiana Public Service Commission's ("LPSC" or "Commission") General Order dated September 20, 1983 (the "1983 General Order"),[1] that the public convenience and necessity would be served by ELL's acquisition of the assets that comprise the Cottonwood generating facility ("Cottonwood" or the "Facility") located in Deweyville, Texas, from Cottonwood Energy Company LP ("Seller"). As detailed below, and in the accompanying Direct Testimony, ELL has an urgent need for additional base load and load-following capacity. Considering that need, ELL seeks to acquire the Facility, which would provide a nominal 1,263 megawatts ("MW") of combined-cycle combustion turbine ("CCCT") capacity and energy. In this Application, ELL seeks a finding from the Commission that the proposed acquisition is consistent

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[1] LPSC General Order dated September 20, 1983 (*In re: In the Matter of the Expansion of Utility Power Plant; Proposed Certification of New Plant by the LPSC*) ("1983 General Order"), as amended by General Order (Corrected) in Docket No. R-30517 (*In re: Possible modifications to the September 20, 1983 General Order to allow (1) for more expeditious certifications of limited-term resource procurements and (2) an exception for annual and seasonal liquidated damages block energy purchases*) dated May 27, 2009.

with the Commission's Unsolicited Offers General Order[2] and Market-Based Mechanisms General Order ("MBM Order"),[3] as well as findings relating to appropriate cost recovery and additional requested relief, as discussed below. To allow for the closing of the proposed acquisition of Cottonwood on schedule, which is currently targeted to occur in January 2027, the Company requests that a procedural schedule be issued timely, establishing appropriate deadlines necessary to facilitate a decision on the Application no later than the Commission's October 2026 Business & Executive Meeting.

INTRODUCTION

I.

ELL is a limited liability company duly authorized and qualified to do business in the State of Louisiana, created and organized for the purposes, among others, of manufacturing, generating, transmitting, distributing, and selling electricity for power, heating, lighting, and other such uses.

II.

ELL is in urgent need of additional base load and load-following capacity. Generating resources such as Cottonwood that employ CCCT technology are well-suited for both roles.

III.

ELL, through this Application, seeks Commission certification, under the terms of the 1983 General Order, of ELL's proposed acquisition of Cottonwood, which will be described in more

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[2] LPSC General Order dated October 15, 2008 in Docket No. R-30703, *In re: Consideration of procedures whereby jurisdictional electric utilities must provide the Commission Staff with notice of unsolicited offers, as well as their response to, and analysis of, unsolicited offers.*

[3] General Order, Docket No. R-26172 Subdocket A, *In re: Development of Market-Based Mechanisms to Evaluate Proposals to Construct or Acquire Generating Capacity to Meeting Native Load, Supplements the September 20, 1983 General Order*, dated February 16, 2004 (as amended by General Order, Docket No. R-26172 Subdocket B, dated November 3, 2006, and further amended by the April 26, 2007 General Order, and the amendments approved by the Commission at its October 15, 2008 Business & Executive Meeting and now in General Order, Docket No. R-26172, Subdocket C dated October 29, 2008).

detail below. Because ELL's proposed acquisition of Cottonwood will provide ELL with a resource that will meet the power needs of customers at the lowest reasonable cost, as detailed below, ELL's proposed acquisition of Cottonwood serves the public convenience and necessity and is in the public interest as contemplated by the 1983 General Order, and the Commission should grant certification.

IV.

With this Application, the Company is submitting the Direct Testimony of Laura K. Beauchamp, Demitrius Davis, Phong D. Nguyen, and Patrick A. Sullivan. The purpose of the testimony of each witness is as follows:

- **Laura K. Beauchamp** – Ms. Beauchamp is the Vice President of Business Operations and Strategy for ELL. Ms. Beauchamp discusses the Company's current plans to meet the long-term supply needs of its customers, anticipated load growth in Louisiana, and the Company's current resource portfolio and identified needs. In addition, Ms. Beauchamp provides an overview of the basic structure of the proposed acquisition and main transaction agreements between ELL, Seller, and Pelican Power LLC (as a guarantor of Seller's obligations), relative to the purchase and sale of Cottonwood. Ms. Beauchamp also discusses, among other things, how the proposed acquisition of Cottonwood is significant to fulfilling the Company's supply plan and resource needs and will provide benefits to customers, including mitigating the exposure of customers to high-capacity prices and spikes in the market price for energy. Ms. Beauchamp also introduces the other witnesses supporting the Application and provides a summary of their testimonies.

- **Demitrius Davis** – Mr. Davis is Vice-President, Power Plant Operations – LA. Through his Direct Testimony, Mr. Davis describes Cottonwood, discusses the Company's major operations and maintenance ("O&M") practices and procedures that will be implemented at Cottonwood post-acquisition, describes the transaction due diligence conducted by ELL and the current condition of Cottonwood, and identifies the major post-acquisition capital projects ELL is planning to bring Cottonwood into alignment with the Company's fleet standards with respect to operations and safety.

- **Phong D. Nguyen** – Mr. Nguyen is the Director, Advanced Economic Planning, for the System Planning & Operations ("SPO") organization within Entergy Services, LLC ("ESL" or "Entergy Services").[4] Through his Direct Testimony, Mr. Nguyen presents the results of the economic analysis performed to support the Company's Application to acquire Cottonwood considering the purchase cost, costs for repair and improvements, and the associated economic benefits that ELL's customers are projected to realize from the proposed acquisition.

- **Patrick A. Sullivan** – Mr. Sullivan is Manager, Regulatory Affairs for ELL. Through his Direct Testimony, Mr. Sullivan explains why the Company's Application complies with the relevant Commission orders and describes how the certification of ELL's proposed acquisition of Cottonwood is in the public interest. Mr. Sullivan also describes the investment necessary for ELL to acquire Cottonwood, which includes the transaction costs, contingency costs, and post-

[4] ESL is a service company that provides engineering, planning, accounting, legal, technical, regulatory, and other administrative support services to each of the Entergy Operating Companies ("EOCs"). The EOCs are ELL; Entergy Mississippi, LLC; Entergy Arkansas, LLC; Entergy New Orleans, LLC; and Entergy Texas, Inc. ("ETI").

acquisition capital investments associated with the Cottonwood acquisition. Mr. Sullivan also discusses the calculation of the retail revenue requirement associated with ELL's proposed acquisition of Cottonwood and ELL's plan for cost recovery.

V.

As required by the 1983 General Order, this Application and the supporting testimony include the specific data that the Company used to support the need for the purchase and to quantify the cost of the purchase.

FACILITY DESCRIPTION AND TRANSACTION OVERVIEW

VI.

As described in more detail by Mr. Davis in his Direct Testimony, Cottonwood is located in Deweyville, Texas, on a ~264-acre site near the Sabine River. The Facility is a natural gas-fired combined-cycle power generation plant configured in four 1x1 power blocks with a net rating of 1,263 MW (nominal, latest GVTC 1,166 Net MW). The Facility consists of four General Electric Company ("GE") Frame 7FA.03 combustion turbines ("CTs"), four Foster Wheeler heat recovery steam generators ("HRSG") with duct firing, four Alstom condensing steam turbines ("ST"), and four split box condensers. The CTs are controlled via a GE MK VI control system. The STs are controlled by an Alstom P320 control system. To control the formation of nitrogen oxide ("NO_x") emissions, the CTs are equipped with dry low-NO_x combustors. The HRSGs include selective catalytic reduction systems for additional control of NO_x, and duct firing for additional steam flow to the STs. Other equipment at the station includes cooling towers and auxiliary equipment and water and wastewater treatment systems.

VII.

Originally built by Bechtel Corp. with construction starting in 2001 (COD 2003) and owned by InterGen (joint venture between Shell Oil Co. and Bechtel Corp.), the owners and operators of the Facility have changed several times. Following InterGen's ownership, Kelson Limited Partnership acquired the Facility in November 2005. NRG Energy, Inc. ("NRG") later acquired the plant in November 2010. Cleco acquired the plant in 2019 from NRG but leased back to NRG for operation. The lease agreement with NRG ended in May 2025. In November 2023, Atlas Holdings agreed to purchase Cleco Holdings' unregulated electric generation business, which was subsequently renamed Pelican Power. The transaction officially closed on June 1, 2024. Seller, a subsidiary of Pelican Power LLC, began operating and maintaining the Facility in June 2025 when the NRG lease ended.

VIII.

As detailed by Ms. Beauchamp, the Company's proposed acquisition of Cottonwood came about via an unsolicited offer from South Central Generating LLC (which is an affiliate of Seller) for the purchase and sale of Cottonwood and related assets, which is dated January 16, 2025.[5] The unsolicited offer contained a short window to respond. Thus, there was risk that ELL would lose the opportunity to pursue the acquisition of Cottonwood if a response was not provided by that date. ELL moved quickly to analyze and evaluate the proposal, and the Company timely responded to the unsolicited offer, electing to proceed with discussions, due diligence, and an arms' length negotiation process.

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[5] The unsolicited offer is provided as Highly Sensitive Protected Materials ("HSPM") Exhibit LKB-3 to Ms. Beauchamp's Direct Testimony.

IX.

ELL evaluated the Cottonwood acquisition based on available information, and as discussed in Mr. Nguyen's Direct Testimony, determined that the acquisition will be beneficial to the Company's customers. As a result, ELL approved moving forward with the transaction, including seeking appropriate regulatory approvals in this Application. Mr. Sullivan describes in more detail the regulatory basis for the Company's decision to pursue this transaction even though it arose outside of a formal ELL Request for Proposals ("RFP").

X.

Ms. Beauchamp describes how recent ELL RFPs show that the Cottonwood acquisition is cost competitive. The first RFP sought proposals for capacity from existing energy and capacity resources. The second RFP sought proposals for capacity and energy from long-term developmental CCCTs. While the timing of those RFPs was not compatible with the Seller's timeline for the proposed Cottonwood acquisition, the pricing is comparable to the proposals that were selected, indicating the Cottonwood pricing is cost competitive.

THE TRANSACTION

XI.

As discussed in part by Ms. Beauchamp in her Direct Testimony, the terms under which ELL will purchase Cottonwood and related assets are set out in the Asset Purchase Agreement ("APA").[6] On November 25, 2025, ELL and the Seller signed the APA. The APA was negotiated at arm's length and has reasonable protections for ELL's customers. After regulatory approvals, satisfaction of other conditions, and the closing, ELL will be the sole owner of the Facility. As part of the proposed acquisition, ELL also will acquire all rights, title, and interest in the assets

[6] The APA is provided as HSPM Exhibit LKB-4 to Ms. Beauchamp's Direct Testimony.

relating to Cottonwood. Section 2.1 of the APA and the related disclosure schedules specify the assets included in the purchase.

XII.

Ms. Beauchamp provides an overview of the commercial terms of the APA in her Direct Testimony. The APA is the agreement governing ELL's purchase of the Facility and related assets. The APA generally follows the structure of prior EOC plant acquisitions,[7] covering such matters as the scope of assets to be purchased, payment terms, the parties' representations and covenants and warranties, closing conditions, indemnification, credit support, and termination. The APA also contains various appendices and exhibits. Subject to Commission approvals, ELL currently estimates that the closing of the proposed acquisition will occur in January 2027.

XIII.

Structuring the transaction as an asset purchase mitigates the risk to the Company that it will be responsible for obligations or liabilities of the Seller and its affiliates, including liabilities related to Cottonwood or the conduct of the Seller's business prior to the transaction's closing. As additional protection to ELL's customers, the terms of the APA expressly provide that the Seller will retain and be responsible for all liabilities related to any period of time prior to closing, including all pre-closing taxes.

XIV.

As set out in the APA, the base purchase price for Cottonwood and related assets is $1.43 billion. The purchase price is subject to adjustments. The APA contains provisions and a process for the determination of the adjusted purchase price. ELL's total projected investment, including

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[7] The terms and conditions of the APA have many similarities to the terms and conditions contained in the asset purchase agreement that ELL entered into when it acquired the Union facility. Moreover, the terms and conditions of the APA also contain many similarities to the terms and conditions contained in the asset purchase agreement that ELL's sister company Entergy Mississippi, LLC entered into when it acquired the Choctaw facility.

the purchase price and planned capital investments to bring the resource into compliance with the Company's fleet standards, will be greater than the purchase price for Cottonwood and related assets. In total, ELL expects to incur an acquisition cost of approximately $1.5 billion (inclusive of transaction costs and contingency) along with $309.3 million for post-acquisition capital repairs and plant upgrades.

XV.

ELL expects to assume the existing long-term service agreement ("LTSA"), which would provide major maintenance, parts, and service for the combustion turbines at the Facility. As Mr. Davis explains, LTSAs are structured such that the owner pays for unit costs to the contractor on an ongoing basis under negotiated terms and conditions for the unit. In general, costs paid to the contractor by the owner cover some or all of the maintenance service required for the unit, but scopes of LTSAs can vary. An LTSA is an alternative to arranging for major maintenance on a transactional basis. Mr. Davis discusses the scope of the LTSA in his Direct Testimony.

OPERATIONAL AND TECHNICAL ISSUES

XVI.

As detailed by Mr. Davis in his Direct Testimony, ESL, on behalf of ELL, performed comprehensive due diligence investigation of the Facility, including site visits. The due diligence included comprehensive reviews by ESL subject matter experts of plant and equipment/O&M; fuel supply and transportation; environmental; transmission and switchyard; accounting; real estate; human resources; state and local tax; federal and state income tax; risk and insurance management; risk engineering; credit and market risk; intellectual property; information technology and critical infrastructure protection; North American Electric Reliability Corporation compliance; metering; and MISO integration.

XVII.

In his Direct Testimony, Mr. Davis notes that the due diligence investigations identified no major issues that would prevent ELL from proceeding with the transaction. Two of the four units are on extended forced outages due to generator step-up ("GSU") transformer failures, but repairs on the GSUs are expected to be completed, and replacement GSUs obtained, prior to transaction closing. However, as explained in greater detail by Mr. Davis in his Direct Testimony, the due diligence process identified a number of strategic capital projects that need to be undertaken to improve or preserve the reliability and overall performance of the Facility consistent with ELL's operating fleet standards. These projects were included in the economic evaluation described by Mr. Nguyen in his Direct Testimony.

TRANSMISSION SERVICE

XVIII.

As explained by Mr. Davis in his Direct Testimony, each of the four CT/ST generator pairs at Cottonwood are interconnected to the adjacent Cottonwood Facility switchyard at a GSU transformer. These four transformers are forced air cooled, have a nominal rating of 520 MVA, and step up the generated voltage from 18 kV to 500 kV. The 500 kV interconnection with ETI occurs at the Hartburg Substation where the Facility delivers power to MISO markets. The Facility is subject to an existing interconnection agreement with ETI/MISO ("Interconnection Agreement"), which will be assumed by ELL as part of the transaction. The Interconnection Agreement grants 1297.6 MW of firm Network Resource Interconnection Service in MISO and 29.6 MW of Energy Resource Interconnection Service. The Facility is designated as being a Reliability Must Run unit in MISO's operating guide. ELL's proposed acquisition of Cottonwood is not expected to require transmission upgrades.

ECONOMIC ANALYSIS AND MARKET COMPARISON

XIX.

As discussed more fully in the Direct Testimony accompanying this Application, ELL's acquisition of Cottonwood offers a number of expected benefits. ELL has a need for long-term load-following and base load capacity. The acquisition of Cottonwood contributes towards meeting the overarching objective of ELL's resource planning process, which is to deliver a resource portfolio that is centered on customer outcomes and the safe, reliable delivery of electricity at the lowest reasonable cost. Also, the addition of Cottonwood represents an economic, efficient, and practical means of meeting a portion of ELL's long-term needs.

XX.

SPO performed an assessment of the potential net benefit (or the potential net cost) of the Company acquiring the Cottonwood facility and closing on the transaction in early 2027 relative to the Company building two new-build CCCT facilities that would come online in 2031. As discussed by Mr. Nguyen, while the new-build CCCTs do not provide the same capacity and energy as early as the Cottonwood resource does beginning in 2027, the economic analysis accounts for the difference utilizing planning assumptions and models to allow for an equivalent comparison. The costs primarily include the purchase price, costs for repairs and improvements, and ongoing O&M and fuel. The costs also include the return of and on these capital expenditures. The analysis also captures the remaining useful life assumption associated with Cottonwood and normalizes the analysis to consider this assumption.

XXI.

As discussed by Mr. Nguyen, the results of the analysis show that material net benefits will be realized by ELL customers if the Company acquires Cottonwood. The net benefits estimated to

be realized vary depending upon key variables such as the amount of seasonal accredited capacity ("SAC"), commodity market price, and ongoing capital and O&M. Subject to these potential variations, the analysis demonstrates a net economic benefit of $167 - $270 million, net present value in 2025 dollars.

XXII.

As Mr. Nguyen discusses in more detail in his Direct Testimony, the Cottonwood resource will be used to serve existing and currently forecasted load in the ELL system. If ELL is unable to acquire Cottonwood, there will be a deficit in ELL's supply plan to serve its growing load obligation, decreasing the level of reliability in the system. Additionally, if ELL is unable to acquire Cottonwood, and a third party instead leveraged the resource to serve incremental load in MISO South, that scenario could subject ELL customers to higher market exposure in a tightening MISO market. Hence, the proposed acquisition will help prevent the risk of higher scarcity energy pricing, curtailment risk, and elevated capacity clearing price risk for ELL customers.

XXIII.

With respect to capacity price risk in particular, Mr. Nguyen explains that, while the analysis captures the capacity benefit of the alternative portfolios, it does not fully capture the capacity price risk exposure that Cottonwood helps mitigate in the 2027 – 2031 time period. Absent Cottonwood, ELL would be ~1,200 MWs shorter and subject to MISO Planning Resource Auction ("PRA") capacity price risk to make up its resource adequacy shortfall in a period where capacity prices are expected to be high due to increased demand and tightening supply conditions in MISO. In addition, the Seller indicated there are other parties vying to purchase the Cottonwood resource, and market conditions in MISO support that this may be a credible assertion. Executing on Cottonwood could help mitigate the risk of higher demand and ultimately higher capacity

clearing prices in LRZ9, which would result in higher PRA clearing prices applicable to all of ELL's short positions. Mr. Nguyen explains how the addition of Cottonwood could significantly lower ELL's capacity purchases over the 2027-2031 period.

XXIV.

Mr. Nguyen also describes how adding Cottonwood increases reliability in ELL's system and mitigates exposure to risk associated with curtailment of firm load. In other words, with Cottonwood in ELL's portfolio relative to the change case, it results in lower Loss of Load Hours ("LOLH") when ELL has Cottonwood compared to the change case where additional load is added onto the system.

THE PLANNING PROCESS AND RESOURCE NEEDS

XXV.

Ms. Beauchamp describes ELL's planning process in her Direct Testimony. ELL's resource planning is driven by the fundamental goal to deliver a resource portfolio that is centered on customer outcomes and the safe, reliable delivery of electricity at the lowest reasonable cost. Building a robust portfolio requires that ELL carefully balance three key objectives: reliability, affordability, and sustainability. This balance looks at both the near-term and long-term benefits and risks associated with each key objective. ELL's portfolio development places an emphasis on customer needs and preferences. ELL recognizes that customer expectations for electric service will continue to change alongside advancements in technology and evolving market and policy considerations both in and out of the traditional utility framework. Accordingly, ELL aims to meet customers' needs for reliable, reasonably priced electric services and energy solutions both today and in the future.

XXVI.

As Ms. Beauchamp explains, the key elements of ELL's resource-planning process are: (1) a determination of the capability of the Company's current resources, (2) a forecast of the peak load plus reserve margin and energy that the Company expects to serve over the planning horizon, and (3) a determination of the amount and types of additional supply-side and demand-side resources that will be needed to meet the Company's load and energy requirements. Further, an overarching consideration in ELL's long-term resource-planning process is the current expectation with respect to load growth and the generation portfolio. As described in detail in ELL's Final 2023 Integrated Resource Plan, the record of Commission Docket No. U-36190 (in which the Commission approved ELL's 2021 Solar Portfolio), and ELL's applications and testimony in Docket Nos. U-36685, U-36697, U-37071, and U-37425, show that ELL is projected to need additional long-term generating capacity over the course of the long-term planning horizon to replace deactivated capacity and address load growth in order to reliably serve customers.

XXVII.

As discussed by Ms. Beauchamp, ELL's projected load (plus a planning reserve margin) exceeds the capacity of ELL's existing and LPSC-approved resources, which indicates an urgent need for additional long-term capacity – a need that is further pronounced with the addition of several new high-profile loads that have been announced by the Company over the last twelve months. The Company continues to need long-term capacity over the planning horizon, and ELL will meet this need from a diverse set of resources that will provide efficient operating flexibility to serve evolving customer demands.

XXVIII.

As Ms. Beauchamp discusses in her Direct Testimony, continued load growth in the commercial and industrial sector is expected. Louisiana has been one of the most attractive locations in the world for energy-intensive industrial and manufacturing operations, owing primarily to the low rates ELL's customers pay as well as the natural geographical advantages Louisiana offers. In Louisiana and across the Gulf South, world-class infrastructure, favorable commodity spreads, workforce availability, and access to deep water ports put Louisiana and the region at the forefront for the U.S. to compete globally for new and expansion of its industrial customer base.

XXIX.

The proposed acquisition of Cottonwood sought in this Application satisfies each of ELL's planning objectives. First, with respect to reliability, the proposed acquisition would provide 1,263 MW (nominal) of additional capacity at a time when ELL's forecasts show a significant need for such capacity. With respect to affordability, as further explained by Mr. Nguyen, the proposed acquisition is consistent with the principles of planning to meet customers' needs at a reasonable cost, will mitigate the exposure of ELL's customers to high capacity clearing prices and spikes in the market price for energy, and is projected to result in net economic benefits to ELL's customers. Finally, with respect to sustainability, resources that are capable of adapting and remaining sustainable over the long-term horizon bring customers increased benefits and help to manage long-term risk and cost stability. The proposed acquisition is consistent with this planning objective where planned repairs, replacements and implementation of enhanced O&M practices are intended to ensure that the Facility remains available to serve ELL customers through 2044.

XXX.

As discussed by Ms. Beauchamp, acquiring Cottonwood is consistent with ELL's capacity needs. ELL weighed the benefits of the proposed acquisition with other options and determined that, among those options, the proposed acquisition would create significant benefits for ELL and its customers at this time. The proposed acquisition provides ELL with the assurances needed to help support its requirements in the near term and long term. The proposed acquisition thus furthers ELL's resource planning objectives of providing reliable service to its customers at the lowest reasonable cost and in a manner consistent with principles of prudent resource planning.

XXXI.

Finally, Ms. Beauchamp explains how acquiring Cottonwood is consistent with ELL's supply role needs. CCCT resources, such as Cottonwood, are technologically and economically well-suited for base load and load-following roles at current long-term forecasts for natural gas prices and emissions cost. Moreover, CCCT technology is a reasonable choice for load-following purposes under most assumptions regarding key uncertainties (*e.g.*, fuel prices, emissions cost, etc.). Consequently, CCCT resources can support planning objectives across a range of assumptions. Cottonwood contributes to the reliability of the system by adding much needed capacity to the ELL supply plan, while also covering ELL's considerable energy needs. Should ELL leave its capacity deficit unaddressed, its customers would face significant reliability and economic risks during this near-term period – risks that, in the exercise of reasonable resource planning, should be and can be avoided through the proposed acquisition of Cottonwood. Cottonwood bolsters ELL's capacity position and contributes to the Company's resource adequacy. Furthermore, the forecasted addition of large industrial load to the Company's system in the near future has heightened the need for energy producing resources that are able to serve

these high load factor loads. Cottonwood will provide valuable energy coverage for the Company, reducing ELL's customers' exposure to wholesale energy market prices.

ACQUISITION ADJUSTMENT

XXXII.

As described in more detail in Mr. Sullivan's Direct Testimony, ELL will, under the terms of the APA, pay more than Cottonwood's net original cost for the assets that ELL will be acquiring. As discussed by Mr. Sullivan, the difference between the purchase price and the net original cost is called an acquisition adjustment. ELL proposes that if the Commission concludes that this transaction is in the public interest, it should certify the resource and include the full cost, including the acquisition adjustment, in retail rates consistent with prior Commission treatment of acquisition adjustments for generation resources acquisitions.[8] Mr. Sullivan also explains how the acquisition provides quantifiable benefits, which also justifies approving recovery of the full purchase price, inclusive of the acquisition adjustment.

COMPLIANCE WITH APPLICABLE COMMISSION RULES AND ORDERS

XXXIII.

For the reasons discussed above, ELL's proposed acquisition of Cottonwood serves the public convenience and necessity and is in the public interest, and is therefore prudent, and should be certified in accordance with the Commission's 1983 General Order. As Mr. Sullivan explains in his Direct Testimony, the proposed acquisition provides a needed source of reliable capacity to customers at a cost that is favorable when compared to new-build CCCT resources, which point is supported by the Direct Testimony of Mr. Nguyen. In addition, Ms. Beachamp explains that Cottonwood already provides capacity within the region, and it will continue to provide economic

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[8] LPSC Order No. U-31196-C (Acadia) at p. 6; Order No. U-33510 at p. 5 (Union).

energy to mitigate against energy market risks in the MISO day-ahead and real-time markets. As discussed by Ms. Beauchamp, the proposed acquisition of Cottonwood will help to meet ELL's need for long-term, base load and load following capacity and add a resource to ELL's portfolio that will support ELL's goal of providing reliable service at a reasonable cost. Mr. Sullivan also explains the evidence that addresses several of the requirements of the 1983 General Order in his Direct Testimony, and he describes the total costs associated with the Cottonwood acquisition.

XXXIV.

In addition, the Unsolicited Offers General Order, which is discussed by Mr. Sullivan in his Direct Testimony, creates a reporting requirement regarding certain unsolicited offers received by the utility and provides notice that any unsolicited offers rejected by utilities are subject to review and an associated disallowance for higher purchase power costs, should the Commission later determine that the utility should have transacted on the offer.[9] While the Unsolicited Offers General Order encourages resource procurement through a structured competitive process, such as an RFP, the order acknowledges that unsolicited offers may be received, evaluated, and accepted or rejected by the utility outside of the competitive process, with the emphasis being on whether transacting on the unsolicited offer would provide savings to customers. In other words, utilities should not reject otherwise attractive resource opportunities merely because they arise outside of a formal RFP process.

XXXV.

ELL and ESL evaluated the Cottonwood acquisition, and as discussed in Mr. Nguyen's Direct Testimony, determined that the acquisition will be beneficial to the Company's customers.

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[9] LPSC General Order dated October 15, 2008 in Docket No. R-30703, *In re: Consideration of procedures whereby jurisdictional electric utilities must provide the Commission Staff with notice of unsolicited offers, as well as their response to, and analysis of, unsolicited offers.*

Thus, consistent with the terms of the 1983 General Order and the Unsolicited Offers General Order, the Company requests that the Commission find that this evaluation of the Cottonwood acquisition satisfies the justification requirement of the 1983 General Order. Further, as Mr. Sullivan concludes, the Cottonwood acquisition and the evaluation of the unsolicited offer are consistent with the principle that prompted the Commission to adopt the Unsolicited Offers General Order – that the utility may receive an unsolicited offer outside of an RFP process that presents the possibility of providing savings to customers and advancing the objective of providing reliable service at the lowest reasonable cost.

XXXVI.

In addition, as noted above, although the Cottonwood acquisition was not formally market tested in the context of an ELL RFP, the analysis described in the testimony of Mr. Nguyen shows that the Cottonwood acquisition is expected to have a positive net benefit to customers across a range of planning assumptions. Under reference assumptions, the projected net benefit to customers of the Cottonwood acquisition is expected to be $167 - $270 million, net present value in 2025 dollars, over the assumed remaining life of Cottonwood.

XXXVII.

Other market-based evidence discussed by Ms. Beauchamp based on two recent ELL RFPs supports a conclusion that the price of the Cottonwood acquisition is cost competitive – in addition to the fact that, as discussed by Mr. Nguyen, the transaction will provide meaningful net production cost benefits to customers. Thus, the objective of the MBM Order – that is, provision of reliable service at the lowest reasonable cost – has been met and an exemption, if necessary, would be appropriate. Mr. Sullivan summarizes the market-based evidence presented in support of this Application in his Direct Testimony.

COST RECOVERY

XXXVIII.

Mr. Sullivan describes in detail the estimated first year revenue requirement for ELL's acquisition of Cottonwood, including the calculation of the various components of that revenue requirement. ELL proposes that the retail revenue requirement initially be reflected in rates outside of the sharing mechanism of the current FRP pursuant to the terms of the Additional Capacity Mechanism, Section 3.D.1. (Owned Capacity Resources) of that FRP. As described by Mr. Sullivan, certain components of the proposed revenue requirement are based on estimates, including the first-year post-acquisition capital repairs and upgrades. During this proceeding, ELL will provide updates to the Commission and its Staff of any changes to those estimates. ELL proposes that the revenue requirement be approved based on the estimates provided by Mr. Sullivan in his Direct Testimony and that the approval provide for a true-up filing within 60 days of closing to establish the revenue requirement based on actual costs incurred.

XXXIX.

Closing on the Cottonwood acquisition is currently targeted for January 2027. ELL proposes that the Commission authorize ELL to contemporaneously change its FRP rates in the first billing cycle after commercial closing of the Cottonwood acquisition to reflect ownership of the asset. To do otherwise would require that the Company establish a deferral of its ownership costs and create an associated regulatory asset for the time period between the closing date and ELL's next FRP Evaluation Report or other applicable base rate proceedings. In a scenario in which costs are deferred, customers will be required, upon eventual rate implementation, to pay rates that reflect the then-current costs of ownership and operation as well as the deferred costs, including carrying cost on the deferred amounts. Assuming that the LPSC has approved ELL's

acquisition of Cottonwood, there is no compelling reason to delay the recovery of the costs associated with the acquisition beyond when customers begin receiving the benefit of the resource, and customers benefit by avoiding carrying cost on deferred amounts.

XL.

In the event the Commission does not approve ELL's request for a contemporaneous rate change and directs that costs be deferred, the Company requests that it be allowed to defer the unrecovered costs and to accrue, on a monthly basis commencing with the month incurred, a return on the net-of-tax balance at a rate equal to the Company's then-current overall authorized rate of return. Under this circumstance, ELL further requests that it be allowed to recover from customers over a one-year period the deferred cost balance relating to the Cottonwood acquisition beginning contemporaneously with the time that the initial year's revenue requirement is reflected in ELL's retail rates.

XLI.

ELL requests that the costs associated with the LTSA be deemed eligible for recovery through the fuel adjustment clause ("FAC") on a basis contemporaneous with their incurrence. As stated by Mr. Davis, all of the costs associated with the LTSA for Cottonwood are variable costs and depend on the number of unit starts and hours of run-time. Variable generation-dependent costs such as these are properly recovered through the FAC, and the Commission has previously authorized FAC recovery for similar costs associated with the Ninemile 6 combined-cycle gas

turbine,[10] St. Charles Power Station,[11] and Lake Charles Power Station,[12] as well as several other facilities, including Perryville, Acadia Power Block 2, Ouachita Unit 3, Calcasieu, and Union Power Blocks 3 and 4.[13] In making such determinations, the Commission properly acknowledged the variability of LTSA costs tied to unit start-up and operational run-time and determined that it was more appropriate to recover these costs through the monthly FAC, rather than via base rate recovery. Consistent with these prior Commission approvals and current practice, the Company proposes that the LTSA costs be recovered through its FAC. Approving the Company's request to recover variable, generation-dependent LTSA costs through the Company's FAC does not in any way alter or diminish the Commission's ability to review the prudence of such costs. These costs, like other costs included in the FAC, are subject to periodic audit by the Commission Staff as required by the FAC General Order. Mr. Sullivan discusses the Company's proposed cost recovery plan for its acquisition of Cottonwood.

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[10] *See* Order No. U-31971 (April 5, 2012), *Ex Parte: Joint Application of Entergy Louisiana, LLC for Approval to Construct Unit 6 at Ninemile Point Station and of Entergy Gulf States Louisiana, L.L.C. for Approval to Participate in a Related Contract for the Purchase of Capacity and Electric Energy, for Cost Recovery and Request for Timely Relief*, Docket No. U-31971.

[11] *See* Order No. U-33770 (December 14, 2016), *In re: Joint Application for Approval to Construct St. Charles Power Station, and for Cost Recovery, Docket No. U-33770.*

[12] *See* Order No. U-34283 (July 20, 2017), *In re: Application for Approval to Construct Lake Charles Power Station and for Cost Recovery, Docket No. U-34283.*

[13] *See* Order No. U-27836 (May 3, 2005), *In re: Entergy Louisiana, Inc. and Entergy Gulf States, Inc., ex parte. In re: Application of Entergy Louisiana, Inc. for Approval of the Purchase of Electric Generating Facilities and Entergy Gulf States, Inc. for Authority to Participate in Contract for the Purchase of Capacity and Electric Power, Docket No. U-27836. See also*, Order No. U-30422-A (October 13, 2009), *In re: Application of Entergy Gulf States, Inc., for Approval to Enter into Contract for the Purchase of Electric Power from Entergy Arkansas, Inc., Sourced from the Ouachita CCGT Facility and Request for Timely Treatment, Docket No. U-30422*; *see also*, Order No. U-31196-C (February 9, 2011), *In re: Application of Entergy Louisiana, LLC for Approval to Purchase Power Block Two of the Acadia Energy Center, and Joint Application of Entergy Louisiana, LLC and Entergy Gulf States Louisiana, L.L.C. for Approval to Participate in Certain Related Contracts for the Purchase of Capacity and Electric Power and for Cost Recovery, Docket No. U-31196*; *see also*, Order No. U-32759-A (November 21, 2013), *In re: Application on Behalf of Entergy Gulf State Louisiana, L.L.C. for an Accounting Order and Declaratory Relief Relating to the Commission's General Order Dated November 6, 1997 Governing the Treatment and Allocation of Fuel Costs, Docket No. U-32759; see also*, Order No. U-33510 (November 5, 2015), *In re: Application of Entergy Gulf States Louisiana, L.L.C. for Approval to Purchase Power Blocks Three and Four of the Union Power Station and Request for Timely Treatment and Cost Recovery, Docket No. U-33510.*

SERVICE OF NOTICES AND PLEADINGS

XLII.

The Company requests that notices, correspondence, and other communications concerning this Application be directed to the following persons:

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ELL requests that the foregoing persons be placed on the Official Service List for this proceeding and respectfully requests that the Commission permit the designation of more than one person to be placed on the Official Service List for service in this proceeding.

REQUEST FOR CONFIDENTIAL TREATMENT

XLIII.

Portions of the supporting Direct Testimony and Exhibits contain information considered by the Company to be proprietary and confidential. Disclosure of certain information may expose ELL and its customers to an unreasonable risk of harm. Therefore, in light of the commercially

sensitive nature of such information, the Company has submitted two versions of the Direct Testimony of Laura K. Beauchamp, Demitrius Davis, Phong D. Nguyen, and Patrick A. Sullivan, one marked "Public Redacted Version" and the confidential version marked "Highly Sensitive Protected Materials." In anticipation of the execution of a suitable confidentiality agreement in this Docket, the Confidential Versions bear the designation "Highly Sensitive Protected Materials" or words of similar import. Although the confidential information and documents included with the Application may be reviewed by appropriate representatives of the LPSC Staff and intervenors pursuant to the terms and conditions of a suitable confidentiality agreement once such an agreement has been executed in this Docket, this confidential information also is being provided pursuant to, and shall be exempt from public disclosure pursuant to, the Commission's General Order dated August 31, 1992 and Rule 12.1 of the Rules of Practice and Procedure of the Louisiana Public Service Commission.

PRAYER FOR RELIEF

XLIV.

WHEREFORE, Entergy Louisiana, LLC respectfully requests that the Commission, subject to the fullest extent of its jurisdiction, grant relief and give its approval as follows:

1. Finding that ELL's acquisition of Cottonwood, including the approximately $1.510 billion acquisition cost (inclusive of transaction costs and contingency) along with the completion of the itemized capital repairs and upgrades currently estimated to cost $309.3 million, serve the public convenience and necessity and are in the public interest and therefore prudent and eligible for recovery in ELL customer rates, in accordance with the Commission's 1983 General Order;

2. Finding that the acquisition is consistent with the terms of the Commission's MBM Order and Unsolicited Offers General Order or, in the alternative, finding that an exception to the MBM Order is warranted in this proceeding, consistent with the evaluation contemplated by the Unsolicited Offers General Order that was performed by the Company with respect to Cottonwood;

3. Approval of the retail revenue requirement of $251.0 million, subject to true-up of the estimated costs to actual costs;

4. Finding that the estimated retail revenue requirement, inclusive of the revenue requirement associated with the itemized first-year capital repairs and upgrades (currently estimated at $91.0 million), is deemed eligible for recovery beginning in the first billing cycle of the month following closing of the acquisition pursuant to subsection 3.D.4. (Additional Capacity Mechanism – Interim Capacity Cost Adjustments) (or equivalent section) of the then effective and applicable FRP;

5. Authorizing, if necessary, deferral of the incremental revenue requirements associated with the acquisition, including that associated with the first-year capital repairs and upgrades, from the closing date (or the date repairs or upgrades are placed in service) until such time as these costs are reflected in retail rates, and accrual of interest on a monthly basis of the net-of-tax deferred balance at a rate equal to ELL's then-current overall authorized rate of return, commencing on the date of the closing (or the date repairs or upgrades are placed in service) and continuing until such time as these costs are reflected in retail rates;

6. Finding that the estimated costs associated with the itemized capital repairs and upgrades to be completed after the first year of ownership (currently estimated at $218.3 million), are deemed eligible for recovery in the Company's then effective and applicable FRP or, alternatively, if there is no FRP in effect, through the Company's base rates;

7. A ruling from the Commission authorizing the recovery, separately, over a one-year period of any deferred balances beginning contemporaneously with the time that the costs of the acquisition commence to be recovered from ELL customers;

8. A ruling from the Commission deeming LTSA costs associated with Cottonwood eligible for recovery through the FAC in accordance with the LPSC's Fuel Clause General Order, with such costs deemed eligible for recovery on a basis contemporaneous with their incurrence;

9. Ruling that, with respect to the transactions described in the Application, the Company has complied with, or is not in conflict with, the provisions of all applicable LPSC Orders, to the extent applicable;

10. A procedural schedule be issued timely, establishing appropriate deadlines necessary to facilitate a decision on the Application no later than the Commission's October 2026 Business & Executive Meeting;

11. Finding, as provided in the Commission's Special Order No. 7-2000, dated March 22, 2000, that the confidential testimony, exhibits, and other materials referenced in this Application will be exempt from public disclosure pursuant to the Commission's General Order dated August 31, 1992 and Rule 12.1 of the Rules of Practice and Procedure of the Louisiana Public Service Commission;

12. Directing that notice of all matters in these proceedings be sent to Lawrence Hand, Patrick Sullivan, Matthew Brown, Harry Barton, Edward Wicker, Meta Danzey, Jay Breedveld, and Scott Olson as representatives of the Company, and, if needed, permitting more than one Company representative to be included on the service list; and

13. Ordering such other general and equitable relief as to which the Company may show itself entitled.

Respectfully submitted,

By: _____

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